

- Q 1. The Turnaround Time (TAT) as per IRDA standards for processing and communication of decisions including requirements / issue of policy / cancellations is ____ .
- ☐ 5 days
 - ☐ 10 days
 - ☐ 15 days
 - ☒ UnAttempted

CORRECT ANSWER:

15 days

Explanation:

IRDA's regulations stipulate the Turnaround Times (TAT) for various services that an insurance company has to render to the consumer. For processing and communication of decisions including requirements / issue of policy / cancellations is 15 days

- Q 2. For which of the following insurance plans will the surrender value factor be the highest after three years from inception (if the sum assured of all the four policies is the same)?
- ☐ The insurance plan for 10 years
 - ☐ The insurance plan for 12 years
 - ☐ The insurance plan for 15 years
 - ☐ The insurance plan for 18 years
 - ☐ The insurance plan for 20 years
 - ☒ UnAttempted

CORRECT ANSWER:

The insurance plan for 10 years

Explanation:

The lower the policy term, the higher is the surrender value factor.

- Q 3. In industrial life insurance the _____ consists of the details of the policyholders from whom the premium needs to be collected.
- ☐ Credit list
 - ☐ Debit list
 - ☐ Policy holders list
 - ☐ Collection list
 - ☐ Receipt list
 - ☒ UnAttempted

CORRECT ANSWER:

Debit list

Explanation:

In an industrial policy the debit list consists of the details of the policyholders from whom the premium be collected needs to be collected.

- Q 4. Who is entitled to the maturity claim?
- ☐ Assignee when there is no assignment registered
 - ☐ Appointee
 - ☐ Nominee
 - ☐ Policyholder himself if there is no assignment under the policy
 - ☐ Inheritor
 - ☒ UnAttempted

CORRECT ANSWER:

Policyholder himself if there is no assignment under the policy

Explanation:

The policyholder himself is entitled to the maturity claim. This is correct only when the policy is not assigned.

- Q 5. Which of the following is an example of a restrictive condition ?
- ☐ If the policyholder does not pay the premium by the due date the policy won d be null and void, all benefits under the policy will cease and any premiums paid will be forfeited
 - ☐ If the information provided by the policyholder on the proposal personal statement or declaration were untrue, then the policy would be null and void, all benefits under the policy will cease and any premiums paid will be forfeited
 - ☐ If death takes place, the installments of premium due for the remainder of the policy period will be deducted from the claim amount
 - ☐ No claim will be paid if the life assured commits suicide
 - ☐ All of the above
 - ☒ UnAttempted

CORRECT ANSWER:

No claim will be paid if the life assured commits suicide

Explanation:

A restrictive condition eliminates risk from the insurance contract, therefore, the condition that no claim will be paid if the life insured commits suicide is a restrictive condition.

The other conditions are all examples of explanatory conditions.

- Q 6. Why are insurance agents required?
- ☐ To give personalised guidance to the prospect
 - ☐ To collect all relevant and material information from the prospect
 - ☐ To get insurance commission
 - ☐ Both 1 & 2
 - ☐ All of the above
 - ☒ UnAttempted

CORRECT ANSWER:

Both 1 & 2

Explanation:

An insurance agent is required to give personalised guidance to the prospect and to collect all relevant and material information from the prospect.

Q 7. Which document (as per IRDA) should state the details of various insurance plans, their benefits, the riders, the terms etc ?

- ☐ Prospectus
- ☐ Offer document
- ☐ Application Form
- ☐ Policy Document
- ☐ Terms and conditions

☒ UnAttempted

CORRECT ANSWER:

Prospectus

Explanation:

A prospectus generally gives details regarding set up of company, insurance plans they offer, benefits, general terms and conditions etc.

Q 8. Assignment type : _____

- ☐ Conditional
- ☐ Absolute
- ☐ Absolute and Conditional
- ☐ Premium
- ☐ Discounted

☒ UnAttempted

CORRECT ANSWER:

Absolute and Conditional

Explanation:

There are two types of assignments - Conditional Assignment and Absolute Assignment.

Absolute is complete and unconditional assignment, whereas Conditional is subjected to occurrence of a specified condition.

Q 9. Mr. Suresh died 5 years before the end of his 30 year endowment policy. Why this death claim was investigated by the insurance co. ?

- ☐ Mr. Suresh had started drinking liquor regularly
- ☐ His cover had a premium loading on medical grounds
- ☐ The policy was foreclosed due to his death
- ☐ Insurer received the most recent premium during the period of grace
- ☐ The policy had lapsed and was revived shortly before the life assured died

☒ UnAttempted

CORRECT ANSWER:

The policy had lapsed and was revived shortly before the life assured died

Explanation:

Revival is treated as a new fresh policy. So this claim was considered as Early Claim as he had died within 2 years of the revival of policy.

Insurance companies deal very cautiously with early claims as its assumed that a person is not likely to die within two years. So there is need of investigation in early claims.

Q 10. Which of these options is incorrect - Personal contracts can be transferred to another person _____.

- ☐ Only with the approval of the insurer
- ☐ By will or operation of the law
- ☐ If the insurer agrees to transfer, the contract will be the same
- ☐ The insurer may make enquiries about transferee
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

By will or operation of the law

Q 11. What is the insurance premium called which is arrived at after deducting the risk margin on uniform basis throughout the policy term ?

- ☐ Uniform premium
- ☐ Level premium
- ☐ Risk premium
- ☐ Net premium
- ☐ Raw premium

☒ UnAttempted

CORRECT ANSWER:

Level premium

Explanation:

In level premium, the premium amount is fixed for the entire period of the policy term. If the total policy term is for 30 years, then, the same premium amount is fixed for the entire term of the policy.

Q 12. What should the agent do if he finds out that the intention of the proposer was not genuine (during the process of completion of an insurance proposal) ?

- ☐ He should inform IRDA
- ☐ He should inform the Insurer
- ☐ He should refuse to proceed
- ☐ He should inform the Underwriter
- ☐ He should inform SEBI

☒ UnAttempted

CORRECT ANSWER:

He should inform the Insurer

Explanation:

Agent has to work in the best interest of insurer.

Q 13. If Mrs. Sharma is 22 years 5 months 29 days then her age nearer birthday is ____ .

- ☐ 21 years
- ☐ 22 years
- ☐ 23 years
- ☐ 22 years 6 months
- ☐ 22 years 5 months

☒ UnAttempted

CORRECT ANSWER:

22 years

Explanation:

Age nearest (nearer) birthday: In this method insurance companies calculate the age based on the nearest birthday, which could be either the last birthday or next birthday. In other words the age is taken as on the birthday within 6 months before or after the date of commencement of policy.

So in this case, Mrs. Sharma's age is 22 years 5 months and 29 days which is less than 22 years 6 months, so it will be taken as 22 years.

If Mrs. Sharma's age would have been 22 years 6 months and 1 day or more, her age nearer to her birthday would have been 23 years.

Q 14. For the quick disposal of grievances of insurance customers, the public institution of _____ was set up.

- ☐ Consumer Courts for Insurance Redressal
- ☐ Institution of Insurance Ombudsman
- ☐ SEBI
- ☐ IRDA
- ☐ Institutes of Actuaries of India

☒ UnAttempted

CORRECT ANSWER:

Institution of Insurance Ombudsman

Explanation:

The Governing Body of Insurance Council was established under the Redressal of Public Grievances Rules 1998 to set up and facilitate the Institution of Insurance Ombudsman in India.

Q 15. If a policy is taken under the Married Women's Property act, it does not allow to ____ .

- ☐ Complete an addendum
- ☐ Provide benefits to multiple parties
- ☐ Appoint a trustee
- ☐ Married man
- ☐ Have joint life policies for multiple parties

☒ UnAttempted

CORRECT ANSWER:

Have joint life policies for multiple parties

Explanation:

Married man can take Married Women's Property act policy for his wife and children only.

Q 16. What is the main purpose of the Guaranteed Insurability Rider Benefit ?

- ☐ To give the policy holder the right to increase cover when a key life event occurs
- ☐ To give the policy holder the right to health cover
- ☐ To give the policy holder the right to maintain cover despite a fall in investment value
- ☐ To give the policy holder the right to cover all possible unforeseen life events
- ☐ To give the policy holder the right to include his parents under the policy

☒ UnAttempted

CORRECT ANSWER:

To give the policy holder the right to increase cover when a key life event occurs

Explanation:

Guaranteed Insurability Rider : This rider gives the insured the right to increase their cover in response to different life events, such as marriage, child birth, buying a house etc.

Q 17. A life insurance company rejects a proposal of life insurance and informs the proposer with a copy to the agent. What will be the next action of the agent ? A) The agent shall inform the proposer that the insurer has broken relationship with the proposer B) The agent will plan to change the life assurance plan C) The agent will have to explain the reasons for rejection of the proposal to the proposer D) The agent will have to take up the matter with higher authorities

- ☐ Both statement A and B are correct
- ☐ Only statement D is INCORRECT
- ☐ Only statement C is correct
- ☐ Both statement B and D are correct
- ☐ All statements are correct

☒ UnAttempted

CORRECT ANSWER:

Only statement C is correct

Explanation:

The agent will have to explain the reasons for rejection of the proposal to the proposer.

The agent cannot change the life assurance plan without proper fact finding.

Q 18. In which way can an insurer advertise in newspapers ?

- ☐ Multilevel Marketing
- ☐ Brand Building
- ☐ Surrogate Advertising
- ☐ Solicitation of Insurance
- ☐ Indirect Selling

☒ UnAttempted

CORRECT ANSWER:

Solicitation of Insurance

Explanation:

IRDA has made it mandatory for insurance companies, agents and brokers to announce clearly in all their communication that insurance is the subject matter of solicitation. This means - Insurance isn't a ready-made standard product like say, a bar of chocolate, that can be sold outright, it has to be discussed and understood.

Insurance companies require agents to create awareness and then acquire insurance business.

Q 19. M/s. Advance life insurance company issued a quotation on 6th March, guaranteed for 14 days and which was accepted on the 12th day. Consequently, the insurer can only decline the risk if

- ☐ The insurer increases the premium rates
- ☐ Customer submits a second quotation request
- ☐ Stock rates changes
- ☐ Negative market place experience
- ☐ Material fact changes

☒ UnAttempted

CORRECT ANSWER:

Material fact changes

Explanation:

Material facts if changed, it can revoke validity of earlier quotation.

Q 20. Which of the foll statement(s) is TRUE ?

- ☐ If there is any submission of error while taking a policy, it will not be the fault of the agent
- ☐ If the insurance policy does not meet the proposers need than the agent will be at fault
- ☐ It is the agents duty to see that the proposed policy meets the needs of the prospect
- ☐ Both 1 and 2 are correct
- ☐ Both 2 and 3 are correct

☒ UnAttempted

CORRECT ANSWER:

Both 2 and 3 are correct

Q 21. The Free look period is for ____ days from the date of receipt of the policy document under a term insurance policy.

- ☐ 5
- ☐ 7
- ☐ 15
- ☐ 30
- ☐ 60

☒ UnAttempted

CORRECT ANSWER:

15

Explanation:

If the policyholder feels that:

- the policy does not meet their requirement; or
- the terms and conditions of the policy are not in accordance with what the agent has told them at the time of selling the policy; or
- they are dissatisfied with the service of the insurance company; then they can return the insurance policy within 15 days and ask for a refund of the premium they have paid.

Q 22. When will the policy become void and all its benefits will cease and all premiums paid will be forfeited ?

- ☐ When the insured suffers losses
- ☐ When the policy is discontinued
- ☐ When the market goes in recession
- ☐ When premiums are not paid
- ☐ When the insurance company incurs losses

☒ UnAttempted

CORRECT ANSWER:

When premiums are not paid

Explanation:

A default in the payment of premium can result in the cancellation of the policy. This is known as a lapsed policy.

A certain grace period is provided by insurance companies to make the payment, if the policyholder fails to make the payment during this period the policy is considered to be lapsed.

Q 23. Mr Mahesh was not in a financial position to pay all the premium in full of his insurance policy and so his policy lapsed. This policy was revived under the _____ scheme .

- ☐ Special policy revival scheme
- ☐ Regular policy revival scheme
- ☐ Late policy revival scheme
- ☐ Retain all customer motive
- ☐ Preferred customer scheme

☒ UnAttempted

CORRECT ANSWER:

Special policy revival scheme

Explanation:

Special revival scheme is applicable if there is no surrender value, policy in lapsation mode for 6 months to 3 years and revival not being done earlier under the scheme.

Q 24. What is the surrender value with a factor of 16% for a 30 year with profit endowment assurance policy whose date of commencement is 3rd June 2000 for a sum assured of Rs 40000 where mode of premium payment is half yearly with due date of last premium paid is 3rd June 2015 and accrued bonus is 600/- % sum assured ?

- ☐ Rs 8699
- ☐ Rs 7146
- ☐ Rs 6308
- ☐ Rs 5741
- ☐ Rs 4980

☒ UnAttempted

CORRECT ANSWER:

Rs 7146

Explanation:

From 3rd June 2000 to 3rd June 2015, a total of 30+1 premiums were paid.

The policy is for 30 years so total premium payable are 60 (as half yearly, so 30X2)

Paid up Value = Sum assured X (Number of Premiums paid / Total number of Premiums Payable)

= 40000 x 31/60

Paid Up Value = 20666

As policy participates in bonus, so **Bonus Amount = 40000 X 600 / 1000 = 24000**

Paid up value + bonus becomes 20666 + 24000 = 44666

This amount is multiplied with Surrender value factor 16%, (44666 x 16%) it comes out to be Rs. 7146

Q 25. Who is authorised to draw a loan on a policy taken under the Married Women's Property (MWP) Act ?

- ☐ The Nominees
- ☐ The insured's wife
- ☐ The insured's children
- ☐ The Appointed trustees
- ☐ The insured's parents

☒ UnAttempted

CORRECT ANSWER:

The Appointed trustees

Explanation:

No loan can be granted under a MWP Act policy unless the proposer had while appointing the trustees, unless specifically authorised the trustees to obtain loan on the policy.

Q 26. What is the outcome of insurance churning ?

- ☐ It gives a positive image to the insurance agents
- ☐ It gives a positive image to the insurance companies
- ☐ Agents get lower commissions due to churning
- ☐ Policy holders is at a disadvantage due to surrender charges
- ☐ Policy holders are at an advantage due to churning

☒ UnAttempted

CORRECT ANSWER:

Policy holders is at a disadvantage due to surrender charges

Explanation:

Churning is the action of an agent who sells new or replacement policies to a client, simply to earn more commissions.

There is no benefit to the client as he suffers from various surrender charges and this practice is illegal.

Q 27. _____ is the event, _____ is the likely occurrence of the event and _____ increases the chances of the happening of the event.

- ☐ Peril, Risk , Hazard
- ☐ Hazard , Peril , Risk
- ☐ Risk, peril , Hazard
- ☐ Peril, Hazard, Risk
- ☐ Risk, Hazard, Peril

☒ UnAttempted

CORRECT ANSWER:

Peril, Risk , Hazard

Explanation:

Peril refers to a specific event which might cause a loss. This loss can be loss of life or loss of property.

Natural disasters such as earthquakes, storms, floods etc. are all perils which cause loss of life and damage to assets.

Risk is the likely occurrence of event.

A hazard, on the other hand, is a condition that either increases the chance that a peril will happen or may cause its effect to be worse if it does.

Q 28. What should an insurance agent do at the outset itself so that he minimizes the risk of getting a customer complaint ?

- ☐ He should offer commission rebates
- ☐ He should ask for referrals
- ☐ He should register with the insurance ombudsman
- ☐ He should provide detailed disclosures
- ☐ He should check the policy holders financial statements

☒ UnAttempted

CORRECT ANSWER:

He should provide detailed disclosures

Explanation:

Disclosures bring in clarity and confirms utmost good faith. Also agent is primary underwriter, he/she has to disclose and work in best interest of the company.

Q 29. The schedule of a policy document does not contain which of these dates ?

- ☐ Date of proposal
- ☐ Date of maturity
- ☐ Date of commencement
- ☐ Nominee date of birth
- ☐ Date on which last premium is to be paid

☒ UnAttempted

CORRECT ANSWER:

Nominee date of birth

Q 30. Which of these statements is/are TRUE ?

- ☐ An event cannot be insured if its certain to happen
- ☐ When there is a possibility of an economic loss, that time insurance is relevant
- ☐ Insurance compensates for indifferent lifestyles
- ☐ Both 1 and 2 are TRUE
- ☐ All the statements are TRUE

☒ UnAttempted

CORRECT ANSWER:

Both 1 and 2 are TRUE

Explanation:

Insurance does not compensate for indifferent lifestyle. Insurance needs to compensate for hazardous habits/lifestyle, if underwriters have accepted the risk.

Q 31. Which type of plans offer payment of part of the sum assured at intervals during the term of the policy ?

- ☐ Retirement Planning
- ☐ ULIPs
- ☐ ELSS
- ☐ Endowment
- ☐ Money back

☒ UnAttempted

CORRECT ANSWER:

Money back

Explanation:

Money back insurance plans are designed to meet the requirements of the individuals who look for a product that provides both savings and insurance cover. It also ensures some form of liquidity in the form of periodic return of money as specified in the product.

In a money back insurance plan, a certain percentage of the sum assured is returned to the insured at regular intervals during the lifetime of the policy.

Q 32. Who helps in the construction of insurance premium ?

- ☐ The Insurance agents
- ☐ The Insurance Company
- ☐ The Underwriters
- ☐ The Actuaries
- ☐ IRDA

☒ UnAttempted

CORRECT ANSWER:

The Actuaries

Explanation:

Actuaries are trained professionals who deal with the financial aspect of risk to life.

They are qualified from Institute of Actuaries London or Actuarial Society of India.

Actuaries study probability and analyse the whole operation of insurance business.

Q 33. Mr X has bought a term assurance plan having an unspecified tenure. The insurance plan he has chosen is ____ .

- ☐ Childrens Plan
- ☐ Life insurance policy
- ☐ Whole life insurance policy
- ☐ Pure endowment policy
- ☐ Survival benefit policy

☒ UnAttempted

CORRECT ANSWER:

Whole life insurance policy

Explanation:

Whole life insurance plan as the name suggests provides insurance cover for the whole life of the individual. It could also be termed as a combination of pure endowment plan and term insurance plan with an unspecified period, as the total term for which the individual will live cannot be determined.

Q 34. Section ____ of the Insurance Act 1938 states that – All policies which have been in force for at least 3 years will be entitled to receive a guaranteed surrender value.

- ☐ 98
- ☐ 101
- ☐ 106
- ☐ 113
- ☐ 127

☒ UnAttempted

CORRECT ANSWER:

113

Explanation:

As per Section 113 of Insurance Act 1938, all policies which have been in force for at least three years, are entitled to receive a guaranteed surrender value, which must be shown on the policy document.

Q 35. Full form of GLES is ____ .

- ☐ Gross Leverage Entry Scheme
- ☐ Group leave employees scheme
- ☐ Group local entrepreneurial scheme
- ☐ Group leave encashment scheme
- ☐ Grade level educational system

☒ UnAttempted

CORRECT ANSWER:

Group leave encashment scheme

Explanation:

Group insurance schemes can be classified as:

- > Group term insurance scheme
- > Group gratuity scheme
- > Group superannuation scheme
- > Group leave encashment scheme (GLES)
- > Group insurance scheme in lieu of EDLI
- > Social security schemes

Q 36. An Insurance company has to maintain its Operating Ratio. However which of the following factors is not in the control of an insurance company ?

- ☐ Net premium earned
- ☐ Investment income
- ☐ Net incurred claims
- ☐ Expenses of the management
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Net incurred claims

Explanation:

Net Incurred Claims : An estimate of the amount of outstanding liabilities for a policy over a given valuation period. It includes all paid claims during the period plus a reasonable estimate of unpaid liabilities. It is calculated by adding paid claims and unpaid claims minus the estimate of unpaid claims at the end of the prior valuation period.

Q 37. _____ is an additional condition added to the base policy that gives add on benefits to the buyer.

- ☐ Annuity
- ☐ Survival benefit
- ☐ Lien
- ☐ Bonus loading
- ☐ Rider

☒ UnAttempted

CORRECT ANSWER:

Rider

Explanation:

Rider is an additional condition added to the base policy that gives add on benefits to the buyer.

Riders are useful to help increase insurance protection by adding a small premium on the basic policy.

Q 38. Which of the following term does not match the other four ie. Find the odd one out ?

- ☐ Early claims
- ☐ Non early claims
- ☐ Deed of assignment
- ☐ Foreclosure
- ☐ Claimant's statement

☒ UnAttempted

CORRECT ANSWER:

Deed of assignment

Explanation:

In Deed of Assignment the policy continues in assignment but rights pass on.

In other four indicate the closure of a policy.

Q 39. Which of these statements is TRUE ?

- ☐ Insurance is a function of uncertainty
- ☐ Damage to asset due to peril is called risk, which the asset is exposed to
- ☐ Life insurance protects the life of the insured
- ☐ Both 1 and 2 are correct
- ☐ All 1, 2 and 3 are correct

☒ UnAttempted

CORRECT ANSWER:

Both 1 and 2 are correct

Explanation:

Statement 3 is false as Life insurance protects the economic value and not the life of the insured.

Q 40. Who receives the proceeds of a life insurance policy under the Married Women's Property (MWP) Act ?

- ☐ Husband and Wife
- ☐ Wife and Children
- ☐ Beneficiaries
- ☐ Only Children
- ☐ Agents

☒ UnAttempted

CORRECT ANSWER:

Wife and Children

Explanation:

According to the Married Women's Property Act or MWP Act 1874, Section 6.

A policy of insurance effected by any married man on his own life, and expressed on the face of it to be for the benefit of

- his wife,

- his wife and children, or

- any of them

Q 41. Which of the foll statement(s) is/are TRUE with respect to revival of a policy ? A) Revival is possible only if the policy is lapsed B) The underwriter has to give his assent for a revival of a policy C) All outstanding premiums have to be paid in full to get a policy revived

- ☐ Only option A is TRUE
- ☐ Only option B is TRUE
- ☐ Only option C is TRUE
- ☐ Both option A and B are TRUE
- ☐ Both option A and C are TRUE

☒ UnAttempted

CORRECT ANSWER:

Only option A is TRUE

Explanation:

A policy can be revived only after it has lapsed.

No underwriter permission is required in this.

In some revival schemes like Installment Revival scheme, some arrears of premium can be paid later in installments.

Q 42. A insurance ombudsman has to pass an award within _____ months from the receipt of the complaint and the award is _____ on the insurance company.

- ☐ Three , binding
- ☐ Three , Non-binding
- ☐ Six , binding
- ☐ Six, Non binding
- ☐ Three, Payable

☒ UnAttempted

CORRECT ANSWER:

Three , binding

Q 43. A Delhi resident, Mr. Singh had taken an insurance policy of 20 years. Due to a setback in his business, he could not pay the premiums from the sixth year. What is the best solution the insurance company can offer Mr. Singh ?

- ☐ Surrender the policy immediately and get the surrender value
- ☐ Convert the policy into a Term policy
- ☐ Convert the policy into a Money Back policy
- ☐ Convert the policy into a Whole Life policy
- ☐ Convert the policy to Paid Up status

☒ UnAttempted

CORRECT ANSWER:

Convert the policy to Paid Up status

Explanation:

A revival of a policy requires that the arrears of premiums be paid with interest. Once the pending premiums are paid with interest, the policy becomes paid-up.

Q 44. Nomination is covered under section ____ of Insurance Act ?

- ☐ 39
- ☐ 40
- ☐ 41
- ☐ 42
- ☐ 43

☒ UnAttempted

CORRECT ANSWER:

39

Q 45. _____ is not a group insurance scheme.

- ☐ Group saving scheme
- ☐ Group gratuity scheme
- ☐ Group super annuation pension scheme
- ☐ Group term insurance scheme
- ☐ Group leave encashment scheme

☒ UnAttempted

CORRECT ANSWER:

Group saving scheme

Explanation:

Group Insurance schemes are classified as :

- Group term insurance scheme
- Group gratuity scheme
- Group super annuation scheme
- Group leave encashment scheme
- Group insurance scheme in lieu of EDLI
- Social security schemes

(Group saving scheme is not a part of these)

Q 46. Whats the meaning of 'Consensus ad idem' ?

- ☐ Meeting of minds
- ☐ Finalization of contract
- ☐ Topic open to discussion
- ☐ Advertisement in all mediums
- ☐ Beneficial to all

☒ UnAttempted

CORRECT ANSWER:

Meeting of minds

Explanation:

Meeting of the minds (also referred to as mutual agreement, mutual assent or consensus ad idem) is a phrase in contract law used to describe the intentions of the parties forming the contract.

Q 47. Which of the following term among the five does not match the other four ?

- ☐ Post hospitalization expenses
- ☐ Ambulance charges
- ☐ Expenses on treatment of pre-existing diseases
- ☐ Funeral expenses
- ☐ Re- instatement value

☒ UnAttempted

CORRECT ANSWER:

Re- instatement value

Explanation:

Except Reinstatement value, all others refer to health insurance.

Reinstatement value is a term used in property insurance. It's how much it would cost to rebuild a house etc. using the same materials.

Q 48. Why is a pension policy needed ?

- ☐ Its a compulsion in the Income Tax laws
- ☐ Due to risk of dying
- ☐ Due to likely deterioration in employment
- ☐ Due to risk of living long
- ☐ Due to likely deterioration in health

☒ UnAttempted

CORRECT ANSWER:

Due to risk of living long

Q 49. _____ is not a standard proof of age and is not accepted by insurance companies to verify the age of the proposer.

- ☐ Driving License within its validity period.
- ☐ Certified extract from Municipal or other records made at the time of birth
- ☐ Passport within its validity period
- ☐ Horoscope prepared at the time of birth
- ☐ Certified extract from school or college records

☒ UnAttempted

CORRECT ANSWER:

Horoscope prepared at the time of birth

Explanation:

Some of the standard age proof/s acceptable to life insurance companies are:

- > certified extract from Municipal or other records made at the time of birth
- > certificate of baptism
- > certified extract from school or college records
- > certified extract from the service register in the case of employees of Government or quasi Government institutions and reputed commercial and educational institutions
- > passport within its validity period
- > identity cards issued by Defence department in case of defence personnel
- > Driving License within its validity period.
- > any other document where the date of birth has been proved on the basis of one of the other standard proofs of age acceptable to insurance companies.

Q 50. In what way do insurance companies allow modifications or alterations to the original policy documents ?

- ☐ By way of written letter
- ☐ By way of surrender
- ☐ By way of endorsement
- ☐ By way of cancellation
- ☐ By way of assignment

☒ UnAttempted

CORRECT ANSWER:

By way of endorsement

Explanation:

The normal terms and condition are printed on the document. Any changes to these terms and conditions will be clarified through endorsements.